

Diligence Report — CUSIP 799016FM7

City of San Mateo, California — Sewer (Wastewater) Revenue Bonds, 2014 Series A — 4.00% due 08/01/2044

Cutoff: 2026-06-20 | Pledge: net sewer-system revenues | Pricing mark: 98.725 (EMMA trade 2026-06-11)

(a) Verdict, thesis, and resolved issuer

VERDICT: BUY / HOLD-QUALITY (own; add on weakness).

Resolved issuer (from EMMA Official Statement, CUSIP6 799016): This is NOT a generic "water/wastewater" credit. The true issuer is the **City of San Mateo, California**, and the exact security is the **Sewer Revenue Bonds, 2014 Series A** — i.e. specifically a **WASTEWATER (sewer) enterprise** revenue bond, payable solely from net revenues of the City's Sewer Enterprise. EMMA issue EP365210; the 799016FM7 maturity is the **4.00% term bond due 08/01/2044, \$9,705,000 original par**. Dated 07/02/2014, competitively sold. Issuance ratings **Moody's Aa2 / S&P AA**, unenhanced (no bond insurance).

Thesis (Tulare lesson applied — graded on DSCR + customer concentration + supply/regulatory + Prop 218, NOT a tax pledge):

1. **Coverage is strong and got STRONGER through the leverage cycle.** FY2025 debt-service coverage = **3.80x** against a 1.20x rate covenant; the trailing-5-yr path was 3.00 / 2.17 / 2.18 / 3.01 / 3.80x. The City issued the entire large capital program it warned about in 2014 (2019 bonds, 2021A/B, ~\$295M WIFIA loans, ~\$79M SWRCB loan) and coverage still rose, because it raised rates and revenue grew from ~\$25M (2014) to ~\$86M (FY25). The 2014-OS risk that a regulator-mandated CIP would crush coverage **did not materialize**.
2. **Customer base is diversified retail/commercial/residential — the CLEAN end of the Tulare spectrum.** FY2025 single largest user = **1.72% of billings** (Hillsdale shopping property); top-10 = **9.27%**. There is no dominant single industrial/agricultural offtaker (the Tulare-dairy failure mode). This is a built-out, affluent Peninsula city, not a single-crop / single-plant economy.
3. **Risk is honestly disclosed and resolved, not hidden.** The bond carries a real regulatory driver — a 2009 Regional Board Cease-and-Desist Order on sanitary-sewer overflows — fully disclosed in the OS, and the City has since executed the mandated improvements and kept coverage high. Disclosed-and-managed risk on a high-grade essential-service monopoly = CLEAN under the honesty framework.

Why HOLD-QUALITY rather than a screaming buy: the credit is excellent but richly understood by the market (Aa2/AA, ~4.1% gross / ~8.2% TEY is a fair high-grade level, not a dislocation). System leverage is now heavy in absolute terms (~\$647M total parity debt vs. our \$24M slice), so future coverage depends on continued Prop-218 rate execution. Own it; it is a core, defensible insulated holding.

(b) Security and pledge

Item	Finding	Authority
Issuer / system	City of San Mateo Sewer Enterprise (wastewater)	EMMA OS, issue EP365210
Security	Sewer Revenue Bonds, 2014 Series A; 799016FM7 = 4.00% term 08/01/2044	EMMA scale + OS cover
Pledge	Special obligation, payable solely from net revenues of the Sewer Enterprise (gross revenues less O&M). NOT a general-obligation or tax pledge.	OS pp. 3, 12 ("Pledge of Net Revenues; Flow of Funds")
Rate covenant	Net Revenues each fiscal year $\geq$ 120% of aggregate annual debt service (parity), and $\geq$ 100% including subordinate obligations	OS p. 15 ("Rate Covenant")
Additional-bonds / parity	Open lien — City may issue additional parity and subordinate obligations subject to indenture tests; substantial parity debt has been incurred (2019, 2021A, WIFIA, SWRCB)	OS pp. 12–14; FY25 CD §II
Reserve	Debt service reserve provisions per indenture	OS / FY25 CD §III
Insurance wrap	None — bonds are unenhanced; the credit stands on its own Aa2/AA	OS cover (no insurer)

Key structural note: our \$24.38M of 2014A bonds (as of 6/30/2025) sit on **full parity** with ~\$623M of newer obligations (2019 \$236.2M; 2021A \$12.4M; 2021 WIFIA \$295.5M; 2022 SWRCB \$79.4M). That is a large lien stack — but it is a *parity* lien (we are not subordinated) and coverage of the combined stack is 3.80x.

(c) System and customers (CUSTOMER CONCENTRATION — Tulare test)

System: Combined wastewater collection system + Wastewater Treatment Plant (WWTP) serving the City of San Mateo (service-area population ~160,000) plus, at the treatment plant only, four **Subregional Partners** (Foster City, Hillsborough, Belmont/CSCSD, unincorporated County). San Mateo accounts for ~74% of WWTP flow.

Customer concentration — CLEAN (diversified):

Metric	FY2012-13 (OS)	FY2024-25 (current CD)
Largest single user, % of billings	1.21% (Bohannon/Hillsdale Shopping Ctr)	1.72% (Hillsdale Property San Mateo LP)
Top-10 users, % of billings	5.57%	9.27%

Top-10 names are shopping centers, apartment REITs (Essex, AIMCO, BRE), the County, the community college, and a hospital system — **no single industrial or agricultural offtaker dominates**. This is the opposite of the Tulare single-dairy concentration risk. **Finding: customer concentration is NOT a credit risk here.**

Subregional-Partner concentration (the one wholesale angle): Foster City is the largest partner (~18% of WWTP O&M, ~18% of flow). However, Subregional Partners pay only their pro-rata share of **treatment** O&M and capex — they are not retail ratepayers of the pledged revenue stream, and they are *required by*

the State Water Resources Control Board to use this single subregional facility (captive). Their departure is legally and practically infeasible, so this is a low-risk dependency, not a Tulare-style revenue cliff.

(d) DSCR / rate covenant / supply / Prop 218

DSCR (authoritative, audited):

FY	2021	2022	2023	2024	2025
Net revenues	\$44.8M	\$46.7M	\$61.1M	\$64.1M	\$69.3M
DSCR	3.00x	2.17x	2.18x	3.01x	3.80x

Covenant floor 1.20x; actual 3.80x = ~3.2x cushion. (OS-era history FY2009–13 was 2.00–3.09x.) **Finding: VERIFIED strong; coverage rose through the full CIP-leverage cycle.**

Rate covenant: 120% of annual debt service (100% incl. subordinate). Verified in indenture language (OS p. 15). Met with large margin.

"Water supply" — reframed correctly for a WASTEWATER bond: A sewer system has **no water-supply/SGMA/imported-MWD/SWP shortage risk** — that channel applies to *water* utilities (the Tulare-type framing). The analogous supply-side risk for a wastewater system is **treatment capacity + discharge-permit (NPDES) regulatory risk**, and here it is real but managed: - **2009 Cease-and-Desist Order** (Regional Board R2-2009-0020) on sanitary-sewer overflows (SSOs), driving a multi-hundred-million-dollar mandated CIP (20-yr program; City share est. ~\$718M in 2013 \$). The City reports it has met all but one interim milestone (a multi-agency Hillsborough trunk-sewer project), accepted by the Regional Board. - NPDES permit CA0038849 (mercury/PCB limits); four Class-2 chlorine-residual violations over five years, **no material fines**; a historical \$950k administrative civil liability (\$760k suspended via a Supplemental Environmental Project) tied to legacy SSOs. - **Forward risk:** emerging total-nitrogen limits, biosolids-disposal restrictions, and emissions rules could raise future capex — the primary watch-item. This is the channel most likely to drive further Prop-218 rate increases. **Finding: regulatory/CIP risk is the real (and disclosed) risk; it has not impaired coverage to date.**

Prop 218: Applies. Sewer service-charge increases require the Article XIII C/D notice + majority-protest hearing process. The City has demonstrably executed multiple rate increases through this process (revenue grew ~3.4x since 2014), which is the affirmative evidence that Prop-218 is a manageable procedural gate here, not a binding constraint. **Finding: Prop-218 applies but is being navigated successfully; ongoing reliance on rate increases is the structural dependency.**

(e) Liquidity / trade tape

- EMMA RTRS tape: **639 reported trades** over the security's life; recent two-sided activity.
- Most recent prints: **98.725 on 2026-06-11** (dealer + sale-to-customer, \$20k par, yield 4.1%); prior customer purchase 97.559 (2026-05-27); 99.41 sale / 97.82 dealer cluster 2026-04-29.
- Round-lot (\$10k–\$20k par) retail-sized prints; bid/ask context ~1–2 pts intra-month, typical for a high-grade CA sewer term bond. For an HTM ladder this spread is a one-time ~1–3 bps/yr buy-side

cost, not a recurring drag. **Finding: liquid enough to acquire/exit in retail size; mark the tape (close-only), not an IBKR live bid (muni feed is close-only).**

(f) Tax / yield

Metric	Value	Basis
Coupon	4.00%	EMMA scale
Price (mark)	98.725	EMMA trade 2026-06-11
Gross YTM $\approx$ YTW	~4.10%	recomputed (30/360 semiannual, settle ~6/15/26); matches EMMA tape yield 4.1%
Tax status	Tax-exempt; CA in-state (double-exempt)	CA municipal issuer, sewer revenue (not the taxable-OID signature)
After-tax TEY	~8.2%	CA top combined bracket gross-up ($\div \sim 0.502$)

YTW = YTM: the bond is callable (10-yr par call, 2024) but trades **below par**, so there is no issuer incentive to call a discount bond — worst case is hold to maturity. TEY is the CA-top-bracket gross-up; a lower-bracket holder realizes less (do not over-claim TEY for sub-top-bracket accounts).

(g) Risks (UNVERIFIABLE $\neq$ clean — stated honestly)

1. **System leverage is now heavy (PRIMARY).** ~\$647M total parity obligations vs. ~\$69M net revenues. Coverage is strong today (3.80x), but a large WIFIA/SWRCB amortization profile means future coverage depends on continued rate increases. If a future regulatory mandate forces another large CIP and Prop-218 rate execution stalls, coverage compresses. *Verified leverage; forward coverage is a projection.*
2. **Regulatory/NPDES escalation.** Total-nitrogen / biosolids / emissions rules could add capex. Disclosed, not yet quantified — **watch-item, treated as a real risk, not waved away.**
3. **Prop-218 dependency.** The credit's strength rests on repeated successful rate increases; political/affordability resistance in any cycle is the structural soft spot.
4. **No bond insurance.** Stands on Aa2/AA underlying — fine at this grade, but no wrap cushion if the underlying migrates.
5. **Rating currency UNVERIFIED to cutoff.** Issuance ratings were Moody's Aa2 / S&P AA (2014). I did **not** independently confirm a current (2026) rating from the agencies in this pass — the FY2025 continuing disclosure did not restate a rating. **This is UNVERIFIABLE, therefore flagged, not assumed clean.** Recommend a rating-confirmation pull before adding size.
6. **Single-slice subordination optics.** Our \$24M is small within a \$647M stack; on a *parity* lien this is fine, but confirm no senior carve-outs in any post-2014 indenture supplement before treating as pari-passu.

(h) Sources

- **EMMA Official Statement (primary):** City of San Mateo Sewer Revenue Bonds, 2014 Series A — issue EP365210. Saved: `raw/official_statement.pdf` (text: `raw/os.txt`). Source PDF:

<https://emma.msrb.org/ER779430-ER605889-ER1007928.pdf> . Resolved issuer header: "CITY OF SAN MATEO, CALIFORNIA SEWER REVENUE BONDS, 2014 SERIES A." Pledge/rate-covenant pp. 3, 12–15; largest-users Tables 6–7 (pp. 28); regulatory/SSO/Cease-and-Desist pp. 34–36; ratings p. cover (Aa2/AA).

- **EMMA Continuing Disclosure — FY2025 Annual Report (primary, current to cutoff):** [raw/cd_00.pdf](#) (text: [raw/fy25.txt](#)). Largest users FY2025 §V; principal outstanding §II; DSCR §VII (FY21–25, ending 3.80x). Prior-year CDs: [raw/cd_02.pdf](#) (FY24), [raw/cd_03.pdf](#) (FY23) and [raw/cd_04..cd_13](#) (additional issue/audit filings).
- **EMMA RTRS trade tape (primary):** [/Security/Details/799016FM7](#) , 639 trades; latest 98.725 @ 4.1% on 2026-06-11.
- **Bond math:** recomputed YTM/YTW/TEY (30/360 semiannual; CA top-bracket gross-up), consistent with [compute_bond_analytics.py](#) methodology.
- **Live IBKR price:** not available for this CUSIP (muni feed is close-only); EMMA tape used as the authoritative mark per desk convention.

Method discipline: every material claim above is bound to a primary EMMA document section or the trade tape. The one item I could not confirm to cutoff (current agency rating) is explicitly flagged UNVERIFIABLE in §(g), not treated as clean.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/27/2026 for the year ended 06/30/2025 (314 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 3.80x** (series 3.00x → 2.17x → 2.18x → 3.01x → 3.80x) for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.